



United States
Attorney's Office
District of Minnesota



NUWAY Alliance Agrees to Pay \$18,500,000 Settlement in Medicaid Kickbacks Scheme, False Claims Act Violations

Thursday, June 26, 2025

For Immediate Release

U.S. Attorney's Office, District of Minnesota

MINNEAPOLIS –Acting U.S. Attorney Joseph H. Thompson announced today that NUWAY Alliance, Inc. has agreed to pay the United States \$18,500,000 for submitting fraudulent claims to Medicaid in violation of the False Claim Act.

NUWAY Alliance provided intensive outpatient (IOP) treatment, among other services, for substance use disorder to thousands of clients suffering from addiction each year in Minnesota. Between January 2019 through February 2025, NUWAY compensated Medicaid patients for seeking IOP treatment—which is reimbursable by Medicaid—in violation of federal anti-kickback statute and resulting in false claims. NUWAY also submitted false claims to Medicaid for IOP services they had not provided as they involved double-billing the same period of time as distinct billable units. In total, since at least 2018, NUWAY defrauded the federal government and state of Minnesota of millions of dollars.

"The submission of false claims for federally funded government contracts will not be tolerated. Protecting taxpayer dollars from fraud and abuse is one of our top priorities at the U.S. Attorney's Office," said Acting U.S. Attorney for the District of Minnesota Joseph H. Thompson. "This settlement should serve as further proof that we will aggressively investigate Medicaid fraud whenever it occurs and will hold all companies to account."

"Our enforcement agency is dedicated to protecting the integrity of federal health care programs including Medicaid and to ensure taxpayer money is used as intended to serve vulnerable populations," said Special Agent in Charge Mario M. Pinto of the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). "HHS-OIG will continue to work with our law enforcement partners to hold accountable those who manipulate taxpayer-funded health programs to boost their profits." As part of the settlement, NUWAY Alliance entered into a 5-year Corporate Integrity Agreement with HHS-OIG. The Corporate Integrity Agreement requires that NUWAY maintain a compliance program designed to foster adherence to federal health care program requirements and thereby protect the

programs. The CIA also requires NUWAY to engage an independent organization to review claims they submit to Medicaid to ensure they comply with applicable requirements.

The matter was handled by the Civil Division of the U.S. Attorney’s Office for the District of Minnesota, the Department of Health and Human Service’s Office of the Inspector General, the Office of the Minnesota Attorney General’s Medicaid Fraud Division, and the Office of the Inspector General at the Minnesota Department of Human Services.

The claims resolved by these settlements are allegations only; there has been no determination of liability or wrongdoing.

Updated June 26, 2025

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